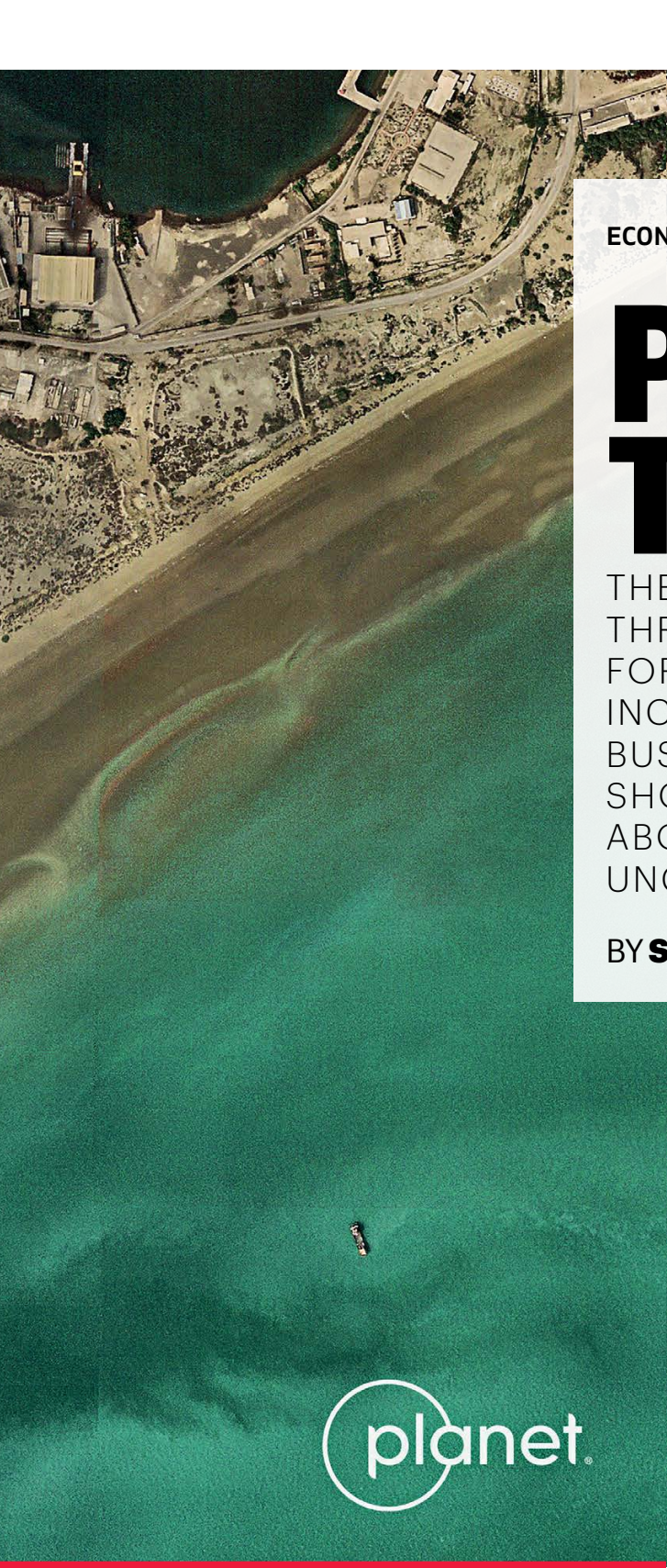




ECONOMY • BCI

PRESENT TENSE

THE WAR IN WEST ASIA HAS THROWN UP FRESH CHALLENGES FOR THE ECONOMY AND INDIA INC. THE ALL-NEW *BT-C* FORE BUSINESS CONFIDENCE INDEX SHOWS THAT FIRMS ARE WORRIED ABOUT THE PRESENT AND UNCERTAIN ABOUT THE FUTURE

BY **SURABHI**

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Businesses are weighed down by the disruption in energy supplies and raw material supply chains, and delayed exports or shipment stuck at sea because of the war

IT'S A WAR that broke out far from Indian shores, but its repercussions have quickly spread across the domestic economy and businesses, which are grappling with supply disruptions and price shocks.

The *BT-C* Fore Business Confidence Survey of 500 chief executive officers and chief financial officers for the first quarter of financial year 2026-27 (Q1FY27) reflects this grim mood. It reveals that corporate India's outlook is bleak as fresh challenges from the war forced them to go back to the drawing board.

The Business Confidence Index (BCI) came in at 47.2 on a scale of 100 in Q1, reflecting the high degree of uncertainty in which companies are operating. A reading below 50 indicates a negative mood and severe stress for businesses. The reading for Q1FY27 is almost similar to the pessimism seen at the start of 2025 when the US, under President Donald Trump, began its trade war and the BCI fell to a 15-quarter low of 47.7 in Q4FY25. Prior to that, the BCI had touched an all-time low of 43.2 in the April-June 2021 quarter at the height of the second wave of the Covid-19 pandemic.